



NIXON PEABODY LLP  
ATTORNEYS AT LAW

NIXONPEABODY.COM  
@NIXONPEABODYLLP

**Eric C Jeffrey**  
*Counsel*  
ejeffrey@nixonpeabody.com

Nixon Peabody LLP  
799 9th Street NW  
Suite 500  
Washington, DC 20001-4501  
202-585-8000

April 7, 2016

**BY HAND**

The Hon. Karen V. Gregory  
Secretary of Federal Maritime Commission  
800 North Capitol St.  
Room 1046  
Washington, D.C. 20573

Re: Docket No. 15-11 – Igor Ovchinnikov v. Michael Hitrinov

Dear Ms. Gregory:

Enclosed for filing in the above-captioned matter are an original true copy and five (5) additional copies of Respondents' Motion for Extension of Time.

Please contact me if you have any questions.

Sincerely,

Eric C. Jeffrey

Enclosure

**FEDERAL MARITIME COMMISSION**

**WASHINGTON, D.C.**

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**DOCKET NO. 15-11**

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**IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV**

**v.**

**MICHAEL HITRINOV a/k/a  
MICHAEL KHITRINOV,  
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

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**RESPONDENTS' MOTION FOR  
ADDITIONAL TIME IN WHICH TO RESPOND**

Specially Appearing Respondents Michael Hitrinov ("Hitrinov") and Empire United Lines, Co., Inc. ("EUL," collectively "Empire")<sup>1</sup> move for additional time in which to respond to the Presiding Officer's March 30 Order to Show Cause (including by way of a challenge to service of process), until 21 days after resolution of Respondents' forthcoming motion to stay these proceedings pending determination of first-filed federal court litigation seeking damages for the same actions regarding the very same cars.<sup>2</sup> The grounds for this motion, elaborated in the incorporated memorandum in support, are as follows:

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<sup>1</sup> Mr. Hitrinov is not an NVOCC and is not licensed as such. Nor is he otherwise one of the limited categories of entity subject to the FMC's jurisdiction. As complainants have suggested a veil-piercing basis for his inclusion, we will leave that matter to another day.

<sup>2</sup> Empire is filing essentially identical motions in both Docket No. 15-11 and Docket No. 1953(I). In order to reduce legal costs for all parties, Empire requested the consent of complainants' counsel that the parties file a single document in both cases for this and other preliminary motions where the issues are the same, but complainants' counsel declined on the grounds that complainants wish the two cases to proceed on different tracks. We do not know what exactly is meant by two tracks, but see no reason why that should preclude joint briefing and combined consideration of common motions. We nevertheless accede for now to complainants' request.

1. This complaint is simply the latest step in a long, convoluted, and troubling web of claims over the very same cars.
2. The precise cars at issue here are also at issue in previously-filed federal litigation pending in the District of New Jersey.
3. Litigating claims in two jurisdictions regarding the same cars is contrary to judicial or administrative economy and creates a real threat of inconsistent results and unconstitutional double injury.
4. These are exactly the type of circumstances that warrant a stay.
5. In light of the foregoing, Respondents plan to file a motion to stay these proceedings pending resolution of the federal court claims, similar to the stay that was granted in Docket No. 15-08.
6. Counsel for Respondents was recently hired, and needs time to prepare the motion for stay, which, if granted, would eliminate the need for further filings, at least for now.

### **Memorandum in Support**

As elaborated below, this proceeding presents a classic example of circumstances under which the Commission should stay its hand in light of ongoing proceedings in another forum. Empire, however, is not currently seeking a stay, but merely asking for an extension of the time in which to respond to the Order to Show Cause, so that Empire through its recently-hired counsel can have a meaningful opportunity to file the stay motion and be heard on the matter, before prematurely jumping to other issues that may never need to be addressed.<sup>3</sup>

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<sup>3</sup> Counsel for Complainants declined consent to this motion on the apparent ground that the stay issue had already been determined by the Presiding Officer's denial of a stay in Docket 14-16. This is far from true. Not only does this proceeding involve different complainants, but also, and more importantly, an entirely different federal court proceeding in an entirely different posture. Moreover, unlike Docket 14-16, in this proceeding there is a significant possibility of constitutionally-prohibited double liability regarding the very same vehicles. Finally, in Docket 14-16, the Presiding Officer found that the federal court case was essentially over, which is not the situation here. In any  
*(Footnote continued on next page)*

### **A. Brief Background**

It is not possible in a motion such as this to give even a brief summary of all the activities concerning these cars, so we provide instead just a skeletal outline of the most relevant facts.<sup>4</sup>

As stated in the Complaint, Respondents had nothing to do with the purchase/sale of the cars at issue. Rather, Complainants purchased the cars from Global Auto, Inc., Effect Auto Sales, Inc., G-Auto Sales, Inc. or other related companies owned and/or controlled by a Mr. Kapustin, which promised to deliver the vehicles in Russia. For convenience in this limited context, and as a federal district court in New Jersey has found Mr. Kapustin to be an alter ego of these companies, we hereinafter refer to Mr. Kapustin and all companies involved in this matter that he owns or controls as “Kapustin Global Auto Group”).

Due to a quirk in Russian import laws, it was financially attractive for residents of Russia to purchase used vehicles in the United States for importation into Russia. To fulfill his delivery obligation, Kapustin Global Auto Group contracted with Empire to transport such cars in containers from the United States to a facility in Kotka, Finland operated by CarCont,<sup>5</sup> where the containers were opened and the cars and other cargo de-vanned. The vehicles were then picked up by a member of the Kapustin Global Auto Group (Global Cargo Oy), after a request for release was made by the Group. This arrangement existed for years, and involved many cars beyond the few at issue here.

event, the possibility that Empire will not prevail on its motion to stay is no reason to take away its ability to make such a motion, where the relevance of the Presiding Judge’s Order in Docket 14-16 may be ventilated in full.

<sup>4</sup> We describe these facts for background only, and so have not attempted to provide documentary support for every assertion. Such support will be provided as appropriate in the stay motion.

<sup>5</sup> While CarCont was named as a respondent in this case, it appears not to have been served with the Complaint (it is Empire’s position that it too was not properly served), and it is not represented here because neither EUL nor Mr. Hitrinov has authority to hire counsel for CarCont. In any event, there is nothing of which we are aware to suggest that CarCont is a type of entity that falls within the jurisdiction of the FMC.

As the Complaint itself indicates, Empire never dealt with individual customers of the Kapustin Global Auto Group; and indeed Empire had no knowledge as to their identity. This was true as a general matter, and is true here. Complainants never requested Empire to release the vehicles in question (neither did the Kapustin Global Auto Group) and Empire did not know who the individual customers were until the commencement of this dispute.<sup>6</sup>

Empire also had a financial relationship with the Kapustin Global Auto Group; it provided the Group with funds (in the neighborhood of \$450,000) to purchase the vehicles that it sold to purchasers, including Complainants, with the cars serving as collateral. The Kapustin Global Auto Group defaulted on the loan, and to mitigate its damages Empire liquidated the approximately 60 cars in its possession or control. There then commenced a long and complicated dance.

The Kapustin Global Auto Group began telling its customers clamoring for their cars that Empire was improperly refusing to release the vehicles, even though no request for release had ever been made to Empire by the Group, the Complainants, or anyone else. Eventually, the same counsel who today represents Complainants represented the Group in a lawsuit against Empire in the U.S. District Court for the Eastern District of New York. See Attachment 1.<sup>7</sup> This complaint included within its scope the very same cars at issue here.

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<sup>6</sup> Because there was no shipper-carrier relationship between Empire and any of the complainants, this matter would in any event need to be dismissed for lack of subject matter jurisdiction, and because complainants have no standing to seek reparations for shipments as to which they did not pay the ocean freight to Empire. These issues need not be addressed at present if the forthcoming stay motion is granted.

<sup>7</sup> Such dual representation, should this Complaint go forward, would appear to create significant ethical issues. It is unclear to counsel for Empire how counsel for complainants may prosecute a case that is potentially adverse to his former employer, and how he can meet his duty of undivided loyalty when he cannot advise his current clients to raise claims against his former client. Kapustin has already complained in court about this representation against his interests. Further, complainants' counsel is potentially a fact witness in this matter, and at the very least will be subject to discovery, as to which Kapustin has waived privilege. See Attachment 2. These issues too could be postponed by the stay that Empire intends to file.

Litigation in the EDNY and elsewhere did not go well for the Kapustin Global Auto Group, to put it mildly. Disgruntled customers sought to intervene in the EDNY action, asserting that they had been the victims of bait and switch tactics engineered by the Group. When intervention was denied, these customers filed a separate lawsuit against the Kapustin Global Auto Group in the United States District Court for the District of New Jersey, asserting claims under RICO. See Civil Action No. 13-cv-07152(NLH)(AMD). The judge in New Jersey made a preliminary finding that the Kapustin Global Auto Group had engaged in the predicate acts of mail and wire fraud, and was poised to issue an order freezing the Group's assets, when it promised to provide funds voluntarily to serve as security for a potential judgment.

As one might surmise, the Kapustin Global Auto Group in fact never provided the promised funds. Instead, the Group declared bankruptcy. The bankruptcy filings were, however, dismissed as by the district court in New Jersey as fraudulent. The New Jersey judge thereafter entered a default judgment against the Kapustin Global Auto Group, with damages being set at \$2.3 million.

Events in the EDNY also went poorly for the Kapustin Global Auto Group. Preliminary relief in the nature of a TRO was refused by the court. In March 2015, all of its lawyers (including Complainants' counsel here) sought, and were granted, leave to withdraw. The case was thereupon dismissed, without prejudice, for failure to prosecute.

Meanwhile, back in New Jersey, successful plaintiffs experienced great difficulty finding the Kapustin Global Auto Group's hidden assets for collection on the \$2.3 million judgment, and so decided as an alternative to accept assignment of Kapustin's purported claims against

Empire.<sup>8</sup> This assignment encompassed all of the 60 odd cars, including the very same cars at issue here. The New Jersey case remains pending.

### **B. Argument**

The instant complaint involves cars that are already the subject matter of litigation in the district court in New Jersey. Judicial economy supports resolution of the matter by a single adjudicator, just as it did in Docket No. 15-08. And it is untenable and quite possibly unconstitutional, that Empire should be subject to potential duplicate liability regarding the same assets in different jurisdictions. See, e.g., *Western Union Telegraph Co. v. Pennsylvania*, 368 U.S. 71 (1961). This is simply a twist on the basic concept of interpleaders – that a defendant may not have the same property or funds taken from him twice.

While the obvious propriety of a stay may be relevant as background to this motion, that question is not actually at issue here. What is at issue is the ability of Empire to be heard in a meaningful manner on its arguments in favor of a stay. This is a fundamental tenet of due process. *Armstrong v. Manzo*, 380 U.S. 545, 552 (1965) (respondent must be given a right to be heard “at a meaningful time and in a meaningful manner”).

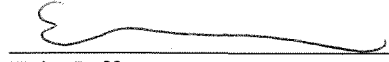
In order to have a meaningful opportunity to be heard on the stay issue, recently-hired counsel for Empire needs additional time to respond to the Order to Show Cause so that Empire’s forthcoming stay motion may be timely considered rather than leapfrogged. Accordingly, Empire requests the Presiding Officer to grant an extension of time of 25 days after resolution of the forthcoming motion to stay, provided that such motion is filed by April 15,

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<sup>8</sup> Because the Kapustin Global Auto Group’s claims against Empire were in the EDNY, the Group filed a cross-claim making the same claims in the New Jersey case, see Attachment 3, after which the plaintiffs were substituted for the Group in accordance with the assignment.

2016. Should the Presiding Officer deny this motion, Empire requests that the period for response to the Show Cause Order be extended until 21 days after such denial.

Respectfully submitted,



Eric Jeffrey

Harini N. Kidambi

**Nixon Peabody LLP**

799 9<sup>th</sup> Street, N.W., Suite 500

Washington, D.C. 20001

(202) 585-8701 (p)

(855) 844-704-7230 (f)

[ejeffrey@nixonpeabody.com](mailto:ejeffrey@nixonpeabody.com)

Specially Appearing Counsel for Specially  
Appearing Respondents

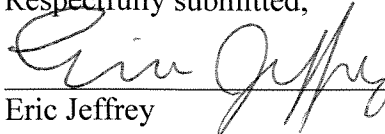
*Certificate of Service*

I hereby certify that I have this day served the foregoing document via electronic and first-class mail to the following:

Marcus A. Nussbaum, Esq.  
Seth M. Katz, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
[marcus.nussbaum@gmail.com](mailto:marcus.nussbaum@gmail.com)

Dated at Washington, DC, this 7<sup>th</sup> day of April, 2016.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Eric Jeffrey", written over a horizontal line.

Eric Jeffrey

Harini N. Kidambi

**Nixon Peabody LLP**

799 9<sup>th</sup> Street, N.W., Suite 500

Washington, D.C. 20001

(202) 585-8701 (p)

(855) 844-704-7230 (f)

[ejeffrey@nixonpeabody.com](mailto:ejeffrey@nixonpeabody.com)

Specially Appearing Counsel for Specially  
Appearing Respondents